

Saudi Arabian Oil Company

An 80% Royalty on the Marginal Barrel: The Supply Shock Belongs to the State, Not to Minorities; Neutral

2222, Tadawul (Saudi Exchange) | Integrated Oil & Gas

NEUTRAL

Price (21 May 2026): \$7.44
Price Target (Dec-27): \$7.50

INVESTMENT THESIS

We initiate coverage of Saudi Aramco at Neutral with a Dec-27 target of \$7.50, a total return of ~5.7% (0.8% on price, 4.9% from the base dividend) against the \$7.44 close of 21 May, the last session before the Saudi Exchange shut for Eid Al-Adha. All figures here are US dollars, converted at the riyal's 3.75 peg. The question is not whether the largest supply disruption in the history of the oil market is good for the world's largest producer, but how much of it a minority holder keeps. Aramco's royalty is 15% on the first \$70/bbl of Brent, 45% between \$70 and \$100 and 80% above \$100, and upstream income is then taxed at 50%: above \$100 the equity retains about ten cents of each incremental dollar per barrel, and below \$70 it gives back forty-three.

Volumes are the offset the market is not modelling. Saudi output ran near 7.76mb/d in March against a 10.291mb/d OPEC+ requirement, because the Strait of Hormuz has been closed since 28 February. Aramco's Q1 realised crude price was \$76.9/bbl against \$76.3 a year earlier, up 0.8%, in a quarter that opened with Brent near \$61 and closed above \$100.

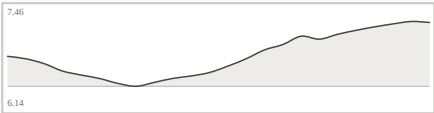
What you own is the sector's strongest balance sheet and a fixed coupon: 4.8% gearing and a base dividend annualising to \$87.6bn for a 4.9% yield. But it was covered exactly 1.00x by 2025 free cash flow and 0.85x in Q1, the performance-linked dividend has gone from \$43.1bn in 2024 to nil, and the 97.5% shareholder is running its largest quarterly deficit on record. This is a bond coupon carrying oil-price credit risk, at 16.4x our normalised earnings: fairly valued, and the wrong instrument for owning a war premium.

- The fiscal ladder caps the upside: an 80% marginal royalty above \$100 Brent plus 50% upstream tax leaves shareholders roughly ten cents of each incremental dollar per barrel.
- Volumes are the hidden offset: ~7.76mb/d of March output against a 10.291mb/d quota, and each 1mb/d of lost liquids costs roughly \$9.5bn of annual net income at \$95 realised.
- The dividend is fixed and thinly covered: \$87.6bn annualised against \$85.4bn of 2025 free cash flow, 0.85x cover in Q1, and debt-funded below roughly \$73/bbl realised.

Akul Veauli

Akul Veauli AC
Equity Research Analyst
akul.veauli@akulveauli.com
Akul Veauli Securities LLC

PRICE PERFORMANCE



Indicative 12-month price path (\$); endpoints reflect the 52-week range of \$6.14-\$7.46 (SAR 23.04-27.96) and the \$7.44 close of 21 May 2026.

COMPANY DATA

Close, 21 May 26 (SAR)	27.90
Close, 21 May 26 (USD)	\$7.44
SAR / USD (pegged)	3.75
Shares O/S (bn)	241.9
Market Cap (\$bn)	1,800
Enterprise Value (\$bn)	1,839
52-Week Range (SAR)	23.04 - 27.96
52-Week Range (USD)	\$6.14 - \$7.46
Free Float	~2.5%
State + PIF Holding	~97.5%
P/E (FY25A)	19.3x
DPS, 2026 base (ann.)	\$0.362
Dividend Yield	4.9%
Gearing (31 Mar 26)	4.8%
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$bn, USD)	FY24A	FY25A	Q1'26A	FY26E
Net income	106.2	93.4	32.5	-
EPS (\$)	0.44	0.39	0.13	-
Free cash flow	85.3	85.4	18.6	-
Capex	50.4	50.8	12.1	52.5
Dividends	124.2	85.5	21.9	87.6
DPS (\$)	0.513	0.353	0.091	0.362
FCF / dividends	0.69x	1.00x	0.85x	-
Gearing	4.5%	3.8%	4.8%	-
Realised crude	-	69.2	76.9	-

FY24A/FY25A per company full-year releases (4 Mar 2025, 10 Mar 2026); Q1'26A per the Q1 2026 release and interim report (10 May 2026). USD as published by the company; riyal items converted at the 3.75 peg. FY26E capex is the \$50-55bn guidance midpoint; FY26E dividends annualise the \$21.9bn Q1 base dividend. Aramco guides neither revenue nor earnings, and we could not source a Street consensus dated on or before 26 May 2026, so those cells read "-" rather than an estimate. Further sourcing under Important Disclosures.

COMPANY OVERVIEW

Aramco is the world's largest integrated oil and gas company, producing 12.891mmb/d in 2025, of which 10.678mmb/d was liquids. Upstream, which supplies essentially all Saudi crude, dominates earnings; Downstream spans refining, chemicals, base oils and retail, including SABIC, Motiva and S-Oil. Maximum sustainable capacity is 12mmb/d, unchanged since the 13mmb/d expansion was cancelled in January 2024, and CEO Amin Nasser said on 11 May that Aramco could reach it "in less than 3 weeks" if asked. The growth engine is gas: Jafurah remains on schedule for 2027 within a programme targeting roughly 80% sales gas capacity growth by 2030 versus 2021.

Q1 2026 RESULTS: A STRONG QUARTER INSIDE A SUPPLY CRISIS

Q1 2026, reported on 10 May, beat on every headline line. Net income of \$32.5bn rose 25% year on year and adjusted net income of \$33.6bn rose 26%, on revenue and other income of \$124.6bn. Operating cash flow of \$30.7bn and free cash flow of \$18.6bn were both slightly below last year, capital expenditure was \$12.1bn, and return on average capital employed was 20.7% on a rolling twelve-month basis. Gearing rose to 4.8% at 31 March from 3.8% at year-end. The base dividend was raised 3.5% to \$21.9bn, payable 9 June. No performance-linked dividend was declared.

The composition matters more than the headline. Aramco's average realised crude price was \$76.9/bbl against \$76.3/bbl in Q1 2025, a rise of 0.8%, in a quarter that opened with Brent near \$61 and ended above \$100 after the 28 February military action and the closure of the Strait of Hormuz. Almost the entire year-on-year earnings increase came from downstream, where adjusted EBIT of \$5.0bn was up \$3.6bn on refining margins 14% higher and chemicals margins 7% higher: product markets repriced far more violently than crude, and Aramco's western-region refineries were exporting roughly 900kb/d of products. CFO Zia Al-Murshed also flagged the working-capital distortion in the cash line: free cash flow excluding working capital was \$34.4bn, up 62%, so a roughly \$16bn build in in-transit and rerouted inventory is the difference between a quarter that covered its dividend and one that did not.

The operational response was exceptional and deserves saying plainly. Aramco lifted the East-West Pipeline to its maximum 7.0mmb/d and, in Nasser's words, "transformed around 80 years of supply and export operational modes in just 8 days," opened a new crude export outlet at Rabigh, and restored the Hawiyah gas plant in under 24 hours and Khurais in under two days after the early-March attacks. Maximum sustainable capacity, Nasser said, is "intact and readily available."

Intact capacity is not the same as saleable barrels. Secondary-source estimates put Saudi March crude output at about 7.76mmb/d against the 10.291mmb/d level the eight-country OPEC+ group required for June, and total OPEC+ output fell 7.7mmb/d between February and March. The group's 3 May decision to add 188kb/d, its third increase since the closure, is symbolic while members cannot physically export; it was also the first such meeting without the UAE, which withdrew from OPEC and OPEC+ on 29 April. The arithmetic is unforgiving: at a \$95 realised price, every 1mmb/d Aramco cannot sell costs roughly \$9.5bn of annual net income, close to what a \$10/bbl price move is worth in the other direction.

THE FISCAL LADDER: WHO ACTUALLY OWNS THE UPSIDE

Aramco's concession terms are public and they are the single most important fact about this equity. The royalty is a marginal rate: 15% on the portion of the Brent price up to \$70/bbl, 45% on the portion between \$70 and \$100, and 80% on everything above \$100. Upstream income is then taxed at 50%, with 20% applying to downstream and to certain gas activities. Combining the two, shareholders retain about 42.5 cents of each incremental dollar per barrel below \$70, about 27.5 cents between \$70 and \$100, and about 10 cents above \$100.

That asymmetry is the investment case in one line: Aramco's equity is a leveraged claim on falling oil and a heavily de-levered claim on rising oil. On roughly 3.65bn barrels of annual liquids sales, moving the full-year realised price from \$100 to \$110 adds only about \$3.7bn of cash flow, while moving it from \$70 to \$60 removes about \$14bn. An unhedged international major, taxed at a blended 30% to 40% with no marginal royalty, keeps two to three times as much of the same incremental dollar. If the view is that the Hormuz premium persists, the majors are the better instrument for expressing it.

The state's cut is visible in the accounts. In Q1 alone Aramco paid \$11.0bn of royalties and other taxes and \$26.7bn of income taxes and zakat, and declared a dividend of which about \$21.4bn accrues to the government and PIF: roughly \$59bn to the sovereign in three months, against \$32.5bn of net income for all shareholders, of whom the free float is 2.5%.

THE DIVIDEND, THE GEARING AND THE SHAREHOLDER'S BUDGET

Aramco pays a base dividend, treated as sacrosanct and grown at a low single-digit rate, and a performance-linked dividend defined as 50% to 70% of surplus free cash flow after the base dividend and other commitments. The performance-linked component has been switched off: \$43.1bn declared for 2024, \$0.9bn paid in 2025, nothing in Q1 2026. There has been no surplus. Free cash flow of \$85.4bn in 2025 covered distributions of \$85.5bn exactly 1.00 times, and Q1's \$18.6bn covered the \$21.9bn base dividend 0.85 times.

The funding is worth tracing because the headline gearing ratio flatters it. Gearing fell from 4.5% at end-2024 to 3.8% at end-2025 even though free cash flow only just matched the dividend, because Aramco completed an \$11.0bn monetisation of Jafurah midstream assets in October 2025, on top of \$27.9bn of pipeline transactions in 2021, and issued \$5bn of bonds and \$3bn of sukuk during the year. A further \$4bn of bonds followed in February 2026, which is why gearing rose a full point to 4.8% in one quarter. None of this is distress: 4.8% is the lowest gearing in the peer group and Aramco held \$75.2bn of cash at 31 March. It is, however, a company paying part of its dividend out of the balance sheet and the asset base.

Why the payout will not change is a question about the shareholder rather than the company. The government holds 81.5% directly and PIF and Sanabil a further 16%. Saudi Arabia ran a first-quarter 2026 budget deficit of SAR126bn (\$34bn), the largest on record, with spending up 20% year on year, against a full-year plan of SAR165bn (\$44bn). Third-party estimates of the fiscal breakeven price cluster near \$94 to \$96/bbl and rise above \$110 once PIF's domestic investment is included, and Aramco dividends have supplied close to half of the oil revenue in the budget in recent years. The base dividend is therefore fixed in both directions: it will not be cut while the sovereign can borrow, and it will not be meaningfully raised either. The \$3.0bn eighteen-month buyback announced on 10 March is 0.17% of market capitalisation, though roughly 7% of the free float, which tells you how thin the tradeable stock is.

The bull case deserves a hearing. An investor who believes the closure persists into 2027 gets a realised price near \$100, dividend cover of 1.3 times, the performance-linked dividend switched back on and a re-rating of the sector's most defensively financed producer. That is a respectable position and it is why we are not Underweight. Our objection is that it needs the disruption to last, needs shut-in barrels to return without the price falling, and pays the state 90 cents of every incremental dollar meanwhile.

FINANCIAL SUMMARY

Saudi Arabian Oil Company -- Summary Financials (USD, converted at the SAR 3.75 peg)

\$ in billions, except per-share data and ratios	FY23A	FY24A	FY25A	Q1'26A
Revenue and other income	495.0	480.4	445.7	124.6
Operating income	232.5	209.5	196.9	59.3
Net income	121.3	106.2	93.4	32.5
Adjusted net income	-	-	104.7	33.6
Earnings per share (\$)	0.50	0.44	0.39	0.13
Operating cash flow	143.4	135.7	136.2	30.7
Capital expenditure	42.2	50.4	50.8	12.1
Free cash flow	101.2	85.3	85.4	18.6
Base dividend	-	81.2	84.6	21.9
Performance-linked dividend	-	43.1	0.9	nil
Total distributions	97.8	124.3	85.5	21.9
Memo: FCF cover of distributions	1.03x	0.69x	1.00x	0.85x
Memo: gearing, period end	-6.3%	4.5%	3.8%	4.8%
Memo: realised crude (\$/bbl)	-	-	69.2	76.9
Memo: production (mmboed)	-	-	12.891	12.6

Source: Aramco full-year 2023, 2024 and 2025 results releases and the Q1 2026 results release and interim report (10 May 2026); Akul Veauli Securities LLC. Net income, cash flow, capex, dividends, gearing, realised price and production are as published by the company in US dollars. Revenue and other income, operating income and EPS are converted from the reported riyal statements at the 3.75 peg (FY25: SAR1,671.2bn, SAR738.5bn and SAR1.44; Q1'26: SAR467.2bn, SAR222.5bn and SAR0.50), the rate the company itself uses in its dollar disclosure. FY24 dividends are on the declared basis (\$81.2bn base plus \$43.1bn performance-linked); cash dividends paid per the cash flow statement were \$97.8bn, \$124.2bn and \$85.5bn in 2023, 2024 and 2025, so the two bases differ by less than 0.1% in 2024. FY25 base and performance-linked figures are amounts paid; Q1'26 dividends are declared, payable 9 June 2026. FY23 gearing of -6.3% denotes net cash. "-" indicates the item was not disclosed on a comparable basis for that period (the 2023 and 2024 releases gave no realised-price, adjusted-earnings or dividend-split disclosure in the sources reviewed); nothing has been estimated.

DIVIDEND COVERAGE SENSITIVITY

The table below is deliberately mechanical. It starts from 2025 actuals, applies the published royalty brackets and the 50% upstream tax rate to a change in the realised crude price across roughly 3.65bn barrels of annual liquids sales, and holds capital expenditure at the \$52.5bn midpoint of 2026 guidance. It is not a model of the company; it is the arithmetic of the fiscal regime, and it says that the base dividend needs a realised price of about \$73/bbl to be covered from cash flow and that the benefit of anything above \$100 is close to negligible.

FY26E free cash flow against the \$87.6bn base dividend, by realised crude price

Realised crude (\$/bbl)	Marginal retention	FCF (\$bn)	Base dividend (\$bn)	Cover	Surplus / (gap)
60	42.5c	69.4	87.6	0.79x	(18.2)
70	42.5c	84.5	87.6	0.96x	(3.1)
73 (breakeven)	27.5c	87.6	87.6	1.00x	0.0
80	27.5c	94.5	87.6	1.08x	6.9
90	27.5c	104.5	87.6	1.19x	16.9
100	27.5c	114.5	87.6	1.31x	26.9
110	10.0c	118.2	87.6	1.35x	30.6
Memo: 95, with liquids sales 1.5mb/d below 2025	27.5c	95.2	87.6	1.09x	7.6

Source: Akul Veauli Securities LLC calculations from Aramco disclosure. Baseline is FY2025 free cash flow of \$85.4bn at a realised crude price of \$69.2/bbl and capital expenditure of \$50.8bn; capex is stepped to the \$52.5bn midpoint of the \$50-55bn 2026 guidance range issued 10 March 2026. Marginal retention is derived from the published concession terms (royalty of 15% up to \$70/bbl of Brent, 45% from \$70 to \$100, 80% above \$100) and the 50% upstream income tax rate, applied to an assumed 3.65bn barrels of annual liquids sales, giving roughly \$1.55bn, \$1.00bn and \$0.37bn of retained cash flow per \$1/bbl in the three brackets. Calibration check: net income fell \$12.8bn between 2024 and 2025 on a realised-price decline of roughly \$10/bbl, so the \$1.00bn used in the \$70-100 band is conservative. The memo row applies a 1.5mb/d reduction against the 2025 liquids rate of 10.678mb/d, reflecting the export constraint implied by March output of about 7.76mb/d. This is an illustrative sensitivity, not a forecast: it holds downstream earnings, working capital and tax timing constant, and Q1 free cash flow of \$18.6bn was itself roughly \$16bn below its ex-working-capital equivalent.

VALUATION AND PRICE TARGET

Our \$7.50 Dec-27 target (SAR28.13) is the simple average of three mechanical anchors and assumes no re-rating. (1) Base-dividend yield: the 2026 base dividend of \$0.362 per share grown 3.5% gives \$0.375 for 2027; capitalised at the stock's own current 4.87% yield that is \$7.70 (at 4.5%: \$8.33; at 5.5%: \$6.82). (2) Normalised earnings: we take a 2027 realised crude price of \$80/bbl, below the \$94/bbl forward-implied 2026 average available on 19 May but above the pre-crisis strip, and apply the fiscal ladder to the 2025 base of \$93.4bn, adding roughly \$5bn for a downstream contribution above the depressed 2025 level, giving \$110bn of net income or \$0.455 per share; at 15.0x that is \$6.83 (14x: \$6.37; 17x: \$7.74). (3) Normalised free cash flow: the same price assumption with capital expenditure at \$55bn gives \$92bn of free cash flow, which at the stock's own current 4.74% trailing free cash flow yield is \$8.02 (5.5%: \$6.92; 6.0%: \$6.34). The average is \$7.52, rounded to \$7.50, an implied price return of 0.8% and a total return of 5.7% including one year of the base dividend, which maps to Neutral under our thresholds of above 15% for Overweight and below 0% for Underweight. The rating flips to Overweight at a target above \$8.19 and to Underweight below \$7.08. At target, Aramco would trade on 16.5x our normalised 2027 earnings and a 5.0% base-dividend yield.

The peer comparison cuts against the lazy version of the bear case, and we would rather say so than pretend otherwise. On trailing numbers Aramco is not expensive against the international majors: at \$7.44 it trades on 19.3x 2025 reported earnings and 9.3x enterprise value to 2025 operating income, against ExxonMobil at 23.1x and 16.7x and Chevron at 28.9x and 18.8x on their 22 May closes of \$154.92 and \$191.43. Aramco also yields 4.9% with 4.8% gearing, which neither can match. The problem is not the trailing multiple, it is what happens to the comparison on forward numbers: the majors' upstream earnings rise close to one-for-one with the oil price while Aramco's rise at 27.5 cents in the dollar and then at ten, so every dollar of oil-price recovery compresses their multiples faster than it compresses Aramco's. On our normalised 2027 basis Aramco is already capitalised at 16.4x, which for a business with no volume growth (capacity has been capped at 12mb/d since the 13mb/d expansion was cancelled in January 2024), a 2.5% float and a controlling shareholder with a record budget deficit, is a full price rather than a cheap one.

Two limitations on the estimates behind this target. First, we could not obtain a Street consensus for Aramco dated on or before 26 May 2026 from any unpaywalled source. Free aggregators publish a consensus for 2222, but we could not date the snapshot to our as-of date, and we have therefore excluded it from the derivation rather than present a possibly stale or possibly forward-looking figure as contemporaneous evidence. That removes the third anchor the notes in this series normally carry, and the target is correspondingly more dependent on our own assumptions. Second, our normalised price assumption is the single largest swing factor and it is genuinely unknowable at this date: the strait had been closed for nearly three months, published bank forecasts for the 2026 Brent average clustered between \$90 and \$100, and the forward curve implied \$94. An analyst who normalises at \$70 lands near \$6.20 and Underweight; one who normalises at \$95 lands near \$8.60 and Overweight. We have chosen the middle because the fiscal ladder makes the equity's payoff so asymmetric that the midpoint is the only defensible place to stand.

UPSIDE RISKS

Risks that would drive the shares above our price target include, but are not limited to, the following:

- The disruption persists. A realised price near \$100 for the balance of 2026 lifts free cash flow to roughly \$115bn against an \$87.6bn base dividend, restores 1.3x cover and makes a performance-linked dividend arithmetically possible for the first time since 2024.
- Export capacity recovers faster than expected. The East-West Pipeline is already at its 7.0mb/d maximum, Rabigh has been opened as a new crude outlet and Yanbu's roughly 5mb/d of capacity is being expanded; each 1mb/d of restored liquids sales is worth roughly \$9.5bn of annual net income at \$95 realised.
- Maximum sustainable capacity is real optionality. Management says 12mb/d can be reached in under three weeks and held for a year, which is a call option on any competitor's supply loss that no other producer can write.
- Downstream stays repriced. Adjusted downstream EBIT of \$5.0bn in Q1 was more than triple the prior year on refining margins up 14% and chemicals up 7%; product markets have historically stayed dislocated longer than crude after a logistics shock.
- Gas and Jafurah. Phase two remains on schedule for 2027 and the programme targets roughly 80% sales gas capacity growth by 2030 versus 2021, which management links to \$12bn to \$15bn of incremental operating cash flow, a growth stream that is taxed at 20% rather than 50%.
- Balance-sheet headroom is genuine. Gearing of 4.8% and a \$75.2bn cash position mean Aramco can fund several years of dividend shortfall without strain, and the February 2026 \$4bn bond cleared at what management called attractive pricing.
- Scarcity of the float. With 2.5% of the shares tradeable and a \$3.0bn buyback running, any index-driven or sovereign-driven demand moves the price far more than the fundamentals warrant, in either direction.

DOWNSIDE RISKS

Risks that would drive the shares below our price target include, but are not limited to, the following:

- The fiscal ladder truncates the upside. An 80% marginal royalty above \$100 Brent plus a 50% upstream tax rate leaves roughly ten cents of each incremental dollar per barrel with shareholders; moving the full-year realised price from \$100 to \$110 is worth only about \$3.7bn of cash flow.
- The same ladder does not truncate the downside. Below \$70 the equity absorbs about 42.5 cents of each dollar lost, so a ceasefire that returns Brent to the low \$60s takes free cash flow to roughly \$69bn against an \$87.6bn dividend, cover of 0.79x and a gap of \$18bn to be borrowed.
- Shut-in volumes. March output of about 7.76mb/d against a 10.291mb/d OPEC+ requirement means Aramco is currently losing roughly as much to volume as it is gaining from price, and the Red Sea route is itself exposed.
- The dividend is not covered by organic cash flow. Cover was 1.00x in 2025 and 0.85x in Q1 2026, gearing has risen from 3.8% to 4.8% in one quarter, and the 2025 reduction in gearing was achieved with an \$11.0bn asset sale rather than with cash flow.
- The performance-linked dividend is gone. It fell from \$43.1bn declared for 2024 to \$0.9bn paid in 2025 and nil in Q1 2026, so the total payout has fallen 31% in two years while the shares have risen.
- The controlling shareholder needs the money. Saudi Arabia posted a record SAR126bn (\$34bn) first-quarter deficit with spending up 20%, against fiscal breakeven estimates near \$94 to \$96/bbl and above \$110 including PIF spending; capital allocation will continue to be set for the sovereign, not the float.
- Physical and geopolitical risk is no longer theoretical. Ras Tanura, the Kingdom's largest refinery, was struck on 2 March and shut for about a week, and Hawiyah and Khurais required emergency restoration. Recovery was fast, but the assets are demonstrably targets.
- Liquidity and index risk. A 2.5% free float against a \$1.8trn market capitalisation means the shares are extraordinarily thin relative to their weight, and any change in index treatment or sovereign selling would move the price independently of fundamentals.
- Valuation offers no cushion on normalised numbers. At 16.4x our normalised 2027 earnings and a 5.1% free cash flow yield, the shares already discount a durable crisis premium in the oil price; a return to a \$70 world with the dividend unchanged leaves a company distributing more than it earns in cash.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. This report is a template and style exercise; the named individual and firm are fictitious and this certification is illustrative only.

IMPORTANT DISCLOSURES

Currency: this report is presented entirely in US dollars. Aramco's shares trade in Saudi riyals and the company reports in riyals. Riyal amounts are converted at SAR3.75 per dollar, the rate at which the riyal's peg has been maintained since 1986 and the rate the company applies in its own dollar disclosure. This is an administered peg, not a market rate observed on 26 May 2026, and it is applied uniformly to the share price, the market capitalisation and every income statement and balance sheet item in this note.

Market data: the price of \$7.44 is the SAR27.90 close of Thursday 21 May 2026, the last session before the Saudi Exchange closed for Eid Al-Adha from 24 May, with trading due to resume on 31 May; there was no closing price between then and our as-of date. Market capitalisation uses 241.91bn shares. Enterprise value of \$1,839bn adds total borrowings of SAR379.5bn (\$101.2bn) and deducts cash and equivalents of SAR230.8bn (\$61.6bn) at 31 March 2026; the company separately cites a \$75.2bn cash position including short-term investments. The 52-week range of SAR23.04-27.96 is per public aggregator data (stockanalysis.com, investing.com); the high was the 19 May 2026 close, and the low was set between August 2025 and May 2026 but could not be dated precisely. Free float of ~2.5% derives from a reported float of 5.99bn shares, consistent with the government's 81.48% direct holding and the 16% held by PIF and Sanabil. Average daily volume, short interest and beta could not be dated to the as-of date and are omitted rather than estimated.

Estimate sourcing: Aramco guides neither revenue nor earnings, and the only quantified 2026 guidance in the sources reviewed is capital expenditure of \$50-55bn, issued with the full-year 2025 results on 10 March 2026. The FY26E dividend of \$87.6bn annualises the \$21.9bn Q1 base dividend declared on 10 May 2026. The normalised 2027 earnings and free cash flow figures, the marginal retention rates and the dividend coverage sensitivity table are analyst-derived by Akul Veauli Securities LLC from published company disclosure and are labelled as such. No Street consensus dated on or before 26 May 2026 could be obtained from an unpaywalled source, and none has been used.

Other sourcing: Q1 2026 figures, quotations and operational detail are from the Q1 2026 release and interim report (10 May 2026) and the 11 May 2026 earnings call, at which Amin H. Nasser is President and CEO and Zia Al-Murshed Executive Vice President and CFO; full-year figures are from the 2023, 2024 and 2025 releases; concession terms, tax rates and shareholdings from the annual report legal disclosures. OPEC+ levels and the 3 May 2026 decision are per the OPEC secretariat statement and contemporaneous reporting; the UAE's 29 April 2026 withdrawal and Saudi March output of about 7.76mb/d are secondary-source estimates, not company disclosure. Saudi fiscal data are from the Arab Gulf States Institute's 6 May 2026 budget analysis and breakeven estimates are third-party (Bloomberg Economics). ExxonMobil and Chevron figures use 22 May 2026 closes and FY2025 reported results. Oil prices are front-month Brent per a market data provider and a commentary dated 19 May 2026.

This report is a formatting and style exercise created for demonstration purposes. "Akul Veauli" and "Akul Veauli Securities LLC" are fictitious. The rating, price target and analyst commentary are illustrative and mechanically derived from published company disclosure and publicly reported market data; they are not the output of a full proprietary financial model and must not be relied upon.

This document is not affiliated with, produced by, reviewed by, or endorsed by J.P. Morgan Chase & Co. or any of its affiliates. Any visual resemblance to layout conventions used across the sell-side equity research industry is a stylistic reference only and does not indicate any relationship with a specific firm.

The price performance chart is an indicative representation built from a small number of dated, sourced closes (the 1, 2 and 12 March 2026 closes reported by Arab News, the 17 to 21 May 2026 closes and the 52-week range) with the remaining points interpolated. It is not a tick-accurate daily series and should not be read as real market data.

Nothing in this document constitutes investment advice, an offer, or a solicitation to buy or sell any security. No recipient should rely on any information in this document for any actual investment decision.

RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. Aramco's implied return of +5.7%, being +0.8% of price return and +4.9% from the 2026 base dividend, maps to Neutral. These definitions are illustrative, generic sell-side rating conventions provided for template purposes only.

GENERAL DISCLAIMER

This document was produced as a formatting and style exercise and is intended to demonstrate document layout, typesetting, and sell-side note conventions. It does not constitute real research, real financial analysis, or a real investment recommendation, and must not be distributed, relied upon, or represented as an actual research report. Recipients should consult a qualified, licensed financial professional and a firm's official published research before making any investment decision.